

EDW FIRM, LLC

Edward Wu
4630 Center Blvd., #903
Long Island City, NY 11109
Edward.wu@edwlawgroup.com
(646) 289-1907

September 10, 2024

Dear Investor of Beach Orangethorpe Hotel II, LLC ("BOH2"),

This firm, which serves as counsel to BOH2, is reaching out to you at the direction of the special manager. As you may know, BOH2 reached a settlement with M&D Properties and their affiliates (collectively, the "M&D Parties") to receive \$1 million to settle claims against the M&D Parties. M&D is paying the settlement amount in monthly installments, which is scheduled to be completed by July 2027. The settlement proceeds, after deduction for certain costs and expenses, including attorneys' fees, will be distributed to investors. Certain investors of BOH2 have requested to immediately receive their share of the settlement proceeds (the "Requesting Investors"). This letter requests that investors provide their vote on (1) whether distributions from the settlement proceeds should be made now to the Requesting Investors, and (2) whether you want to be a Requesting Investor (so as to receive an immediate payment now).

As an initial matter, it would be unfair for the Requesting Investors to now receive their full share of the total settlement amount that is scheduled to be fully received by BOH2 by July 2027. It would be unfair because, among other things, certain investors do not want to receive their distribution now out of concern that it may impact their immigration applications. Therefore, paying the Requesting Investors their full share would unfairly shift risk to the other investors because it is possible that the M&D Parties will default on their obligation to make future monthly settlement payments. In that scenario, the Requesting Investors will receive more than other investors.

Therefore, investors are being requested to vote on whether the Requesting Investors should receive a pro rata share of the settlement proceeds that have already been received after deduction of attorneys' fees. As of August 23, 2024, the total amount of settlement proceeds that have already been received, after reduction of attorneys' fees, is approximately \$306,246. Since there are 23 BOH2 investors, each BOH2 investor may expect approximately \$13,315 from the settlement proceeds that have already been received. You are being asked to vote on whether the Requesting Investors should each receive a \$13,315 distribution now and whether you want to be a Requesting Investor. If the Requesting Investors are permitted to receive an immediate distribution, they will also receive a subsequent distribution. Ultimately, the goal is to provide equality of treatment in terms of the amount distributed to each investor. When voting, please keep in mind that multiple

distributions to the Requesting Investors increase the risk of inadvertent distributions and miscalculations, and may leave BOH2 with insufficient funds for matters that may arise. For the vote to pass, a majority of the 23 BOH2 investors must vote to accept. If investors vote to reject making distributions now to the Requesting Investors, distributions will simply be made to all investors at a later time.

Please provide your vote by no later than September 30, 2024. If you have questions, feel free to email me. Thank you.

Sincerely,



Edward Wu
EDW Firm, LLC

VOTING BALLOT:

1. Should distributions from the settlement proceeds be made now to investors that request an immediate payment (a “Requesting Investor”)?

☐ YES

☐ NO

2. If you voted “YES” to the above question, do you want to be a Requesting Investor to receive your pro rata distribution from the settlement proceeds now?

☐ YES

☐ NO

Investor’s Full Name (English): _____

Investor’s Signature: _____

Date: _____

Phone Number: _____

Email: _____

Please attach a copy of your passport to this ballot.